

The economics of bargaining with government

Day 4 · Session 1 | Both sectors | Shared resource

Keep this sheet. You will use it in this afternoon's preparation session and in the sector simulation, and it is designed to be useful after the workshop as well.

Why a Public Employer Is Different

The structural difference	Detail
Private employer	Financial capacity may involve revenue, profit, cash flow, reserves and financing; it is not only a single profit figure. Decision authority also varies.
Public employer	Public funds are subject to lawful budgets, appropriations and releases. Institutional revenue may also matter. The person negotiating may lack authority over all decisions.
At the table	Separate willingness to agree from legal authority and financial capacity to implement.
After signing	Identify approvals, funding, registration where required and implementation milestones. Signature does not itself release public money.

The Ability-to-Pay Doctrine

Comparability, cost of living and ability to pay are useful criteria for testing a claim or response. Their weight depends on law, evidence and the situation; this is a preparation framework rather than a universal legal formula.

The three criteria	Detail
Comparability	What comparable workers earn — in the same sector, in other public services, or in the wider labour market. Requires a defensible comparator.
Cost of living	What has happened to prices and to real earnings since the last settlement. Requires a period and a source, not an impression.
Ability to pay	What the employer can fund from available and prospective revenue. Requires a scope, a denominator and a time horizon.

A claim that argues only affordability invites the answer "we cannot afford it". A refusal that argues only affordability invites the question "compared with what else you fund?"

"Cannot Pay" or "Will Not Pay"? — A Working Test

This is the single most useful diagnostic in this session. It does not tell you who is right; it tells you what kind of conversation you are in, and therefore what to do next.

Signals of a genuine constraint	Signals of a political choice
- A specific figure, with a stated scope and denominator - A published source you could check independently - A willingness to discuss phasing, sequencing or non-cash elements - Consistency with how other claims have been treated - An explanation of who does control the decision, and when	- Affordability asserted without any figure - The figure changes between meetings without explanation - Comparable commitments funded in the same period - Refusal to discuss any element, including those with no cash cost "There is no money" used as a conversation-ending phrase

Question 1

For a claim you are involved in, or expect to be: what specific evidence would persuade YOU that a constraint is genuine? What would persuade the other side?

The Five Pieces of the Fiscal Architecture

Each of these constrains what can be agreed at a bargaining table, and each constrains it in a different way.

What each piece does to your negotiation	Detail
The public-sector wage bill	The aggregate everything else manages. Its size and trajectory set the political temperature around any claim.
The statutory wage-bill ceiling	For counties, Regulation 25(1)(b) of the PFM (County Governments) Regulations, 2015 sets a 35% limit on wages and benefits as a share of total county revenue, excluding extractive natural resources revenue (including oil and coal). It is not a 35% limit on a university's recurrent budget.
The Salaries and Remuneration Commission	Sets and reviews State officer pay and advises on other public pay. Its position affects whether an agreement is enforceable, not only whether it is affordable.
The budget cycle	Determines WHEN money can be committed. An agreement reached outside the cycle may be sound and still unfunded for a year or more.
External fiscal surveillance	Shapes the overall envelope and the political appetite for wage growth, usually in the background rather than as a line-item veto.

The question to ask about any of them

Does this constrain the AMOUNT, the TIMING, or the ENFORCEABILITY of what we are discussing? The three need different responses.

Why the Same Wage Bill Produces Different Numbers

Official Kenyan sources report the wage bill as very different shares of revenue — the range across reputable sources is wide. This is not usually dishonesty. It is scope and denominator.

Before arguing about the number, establish these	Detail
Scope	National government only? Plus counties? Plus teachers? Plus security services? Check explicitly whether state corporations and other entities are included.
Denominator	Total revenue, ordinary revenue, or the equitable share plus own-source revenue? These are materially different bases.
Period	A single quarter, a financial year, or a calendar year? Quarterly figures move a great deal.
Source	Which body published it, and when? Different official bodies report on different bases.

Negotiating tip: agreeing the measure with the other side before arguing about the number is unglamorous and is often the most productive single move available to either party.

Your notes

Question	Your answer / what you need to find out
Which measure does my side use?	
Which measure does the other side use?	
What would we need to agree on first?	